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Telecom & Networking Equipment | North America

Feedback on Our Networking & Optical Notes: Some Healthy Debate

Found healthy backing to our networking note highlighting inference opportunity, particularly with ANET, a thesis we think has more momentum. Optical, which lacks firm data points, has had more recent debates, with clearest story remaining in GLW; more powerful stories into FQ4 EPS around LITE/COHR.

Key Takeaways

- Found the most support for our networking note, which points to continued momentum with ANET / CSCO.
- Optical conversations picking up given concerns around CPO/NPO timing, laser competition, training vs. inference in scale-across.
- Cleanest setup remains with GLW, LITE / COHR becoming more interesting into earnings, still more risk off CIEN for now.

Focus turns to networking as optical has a few more debates. In general, we have found that our networking conversations coming out of [our note a couple of weeks back](#) were positive, pointing to more support for ANET / CSCO over the next month into earnings. This is counter to our recent optical discussions, which have moved from a demand-discovery conversation around incremental content ([highlighted in our Insight earlier this year](#)) to a margin-durability debate as timing of incremental content, capacity coming online and overall switches in capacity investments between training and inference come to the forefront. More specifically, 1) the timing / form of CPO / NPO ([discussed in our note earlier in the month](#)), 2) reports of Source Photonics' capacity expansion, and 3) the inference / training argument we made in our networking note potentially changing some estimates on the scale-across side of optical. **Given more spot market data points with other AI trades like memory, we expect volatility to continue in optical in near term, leaving our preference for networking names (ANET/CSCO). We expect against all these discussion points in optical, that GLW remains the cleanest story over the next month ahead of earnings, LITE / COHR to become more interesting into earnings in early August.**

Optical long term margin stories start to differ in conversations. Demand for optical isn't really the question for many investors, as demand conditions remain strong. Where there tends to be more debate is around margins, particularly since there is not as much of a spot market vs. other AI trades like memory. In order of importance, we list recent conversation points that have set the framework for differing margin conversations:

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TELECOM & NETWORKING EQUIPMENT

North America

Industry View

In-Line

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- **1) (+: GLW)** Fujikura (covered by Yu Shirakawa) raising full year outlook last Thursday, noting stronger demand, better pricing, milder effects of hydrogen shortages. While we have repeatedly held that the spot pricing commentary out of Asia for fiber is too aggressive for GLW, who has preferred LTAs over price taking, the meaningful raise to Fujikura's full year outlook (+47% to OP) is a positive for GLW.
- **2) (-: LITE / COHR)** Suzhou Dongshan Precision Manufacturing (SHE: 002384) noting they would invest \$1.2bn to build out additional laser capacity through their Source Photonics business. We would note Source Photonics is a relatively small player in the laser market, but as capacity came out it would be more likely to challenge CW market vs. EMLs, but could weigh on longer term margin expectations in the near term.
- **3) (-: CIEN)** With our networking note highlighting inference opportunities vs. training, how competitive the pricing will be in scale-across optical coming into question.
- **4) (=: LITE / COHR)** CPO Timing / Architecture. As we argued in our note from a couple of weeks ago, additional optical content in scale-up is more important than the form factor it takes.

More on Source Photonics' Capacity Expansion and Competitive Implications.

The biggest incremental data point we heard last week was around the capacity expansion with Source Photonics. Suzhou Dongshan Precision's filing indicates Source Photonics and its subsidiaries plan a \$1.2B optical chip and module expansion funded with self-raised capital and aimed at downstream AI demand. Industry feedback suggests Source Photonics had already been discussed as potentially expanding capacity by 5-6x before the announcement, although we would treat that as channel context rather than official guidance. We think LITE / COHR price action in response to the Source Photonics headline is likely exaggerated, as Source Photonics is a relatively small competitor. Checks suggest Source Photonics is not coming up meaningfully in competitive discussions, with the market dominated by LITE, COHR, Sumitomo, Broadcom. Their expansion is likely to be more impactful to the CW laser side vs. EML.

Exhibit 1: Networking stocks have lagged Optical YTD, but momentum has started to shift, with Networking up 6.7% over the last month vs. a 10% decline for Optical.

Optical Communications Stock Performance				
	1Y	YTD	1 Month	1 Week
AAOI	590.2%	364.3%	(10.8%)	(4.3%)
CIEN	474.6%	83.1%	(26.6%)	(4.0%)
COHR	379.8%	111.1%	3.2%	1.2%
FN	115.5%	26.0%	(18.5%)	(6.1%)
GLW	290.8%	123.4%	0.6%	8.8%
LITE	848.0%	130.6%	(10.2%)	(7.8%)
Average	449.8%	139.7%	(10.4%)	(2.0%)

Networking Stock Performance				
	1Y	YTD	1 Month	1 Week
ANET	96.7%	29.5%	10.2%	3.9%
CLS	175.5%	26.0%	1.4%	(5.2%)
CSCO	84.4%	56.9%	(0.7%)	(1.3%)
FFIV	34.3%	51.0%	(2.1%)	(2.7%)
HPE	169.5%	99.2%	26.5%	(1.3%)
KEYS	128.2%	79.0%	4.9%	3.7%
Average	114.8%	56.9%	6.7%	(0.5%)

Source: Factset

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Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/18/2026)
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Arista Networks (ANET.N)	O (10/31/2023)	\$169.67
Axon Enterprise Inc (AXON.O)	O (12/03/2024)	\$423.40
Ciena Corporation (CIEN.N)	E (10/10/2025)	\$428.22
Cisco Systems Inc (CSCO.O)	O (04/08/2024)	\$119.54
Coherent Corp (COHR.N)	E (12/13/2023)	\$389.57
Corning Inc (GLW.N)	E (06/13/2024)	\$194.92
F5 Inc (FFIV.O)	E (04/12/2022)	\$385.49
Keysight Technologies Inc (KEYS.N)	E (10/10/2025)	\$363.67
Lumentum Holdings Inc (LITE.O)	E (05/12/2021)	\$850.00
Motorola Solutions Inc (MSI.N)	O (12/17/2025)	\$395.17
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